

Company Overview

August 2020

Kiwi Camara, Founder and CEO
camara@csdisco.com

Creating the legaltech category

1 Market leader in cloud ediscovery

- DISCO Ediscovery is software for legal document review ($14bn nondiscretionary, countercyclical market)
- DISCO Managed Review is AI-powered document review that replaces brute-force document review by armies of lawyers (3–5× bigger TAM, high software gross margins)

2 Category creator for legal technology and productized legal services

Explosive growth

Annual run rate

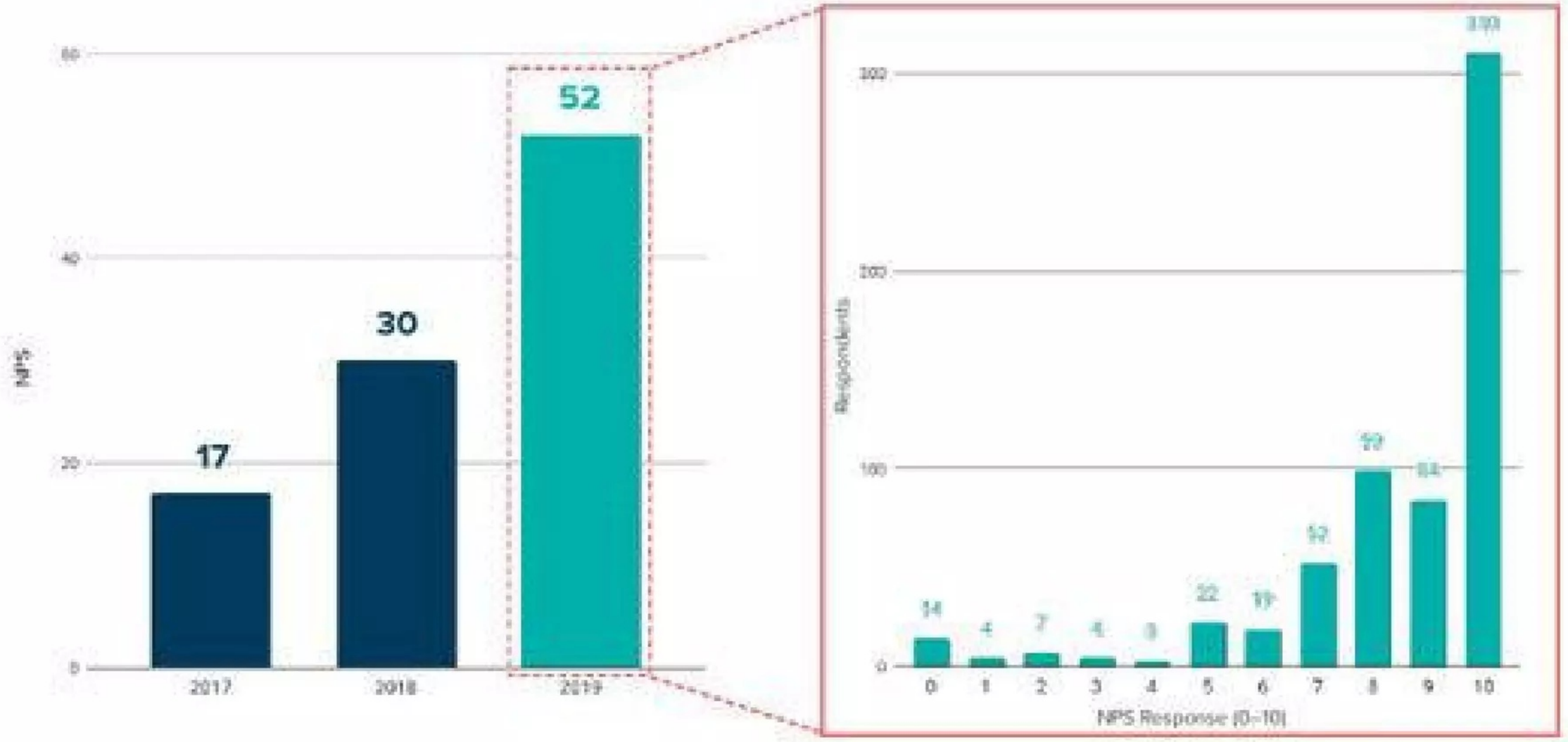


Logos



Growing NPS: consumerization of enterprise software

>50% of customers gave us a 10 out of 10



Legal domain + high-growth software experience

Deep industry experience

Scaled high-growth businesses

Substantial time together at DISCO



Kiwi Camara
Chief Executive Officer



Sean Nathaniel
Chief Operating Officer



Michael Lafair
Chief Financial Officer



Andrew Shimek
Chief Revenue Officer



Keith Zoellner
Chief Technology Officer



Kent Radford
General Counsel



Neil Etheridge
Chief Marketing Officer



Melanie Antoon
VP Professional Services

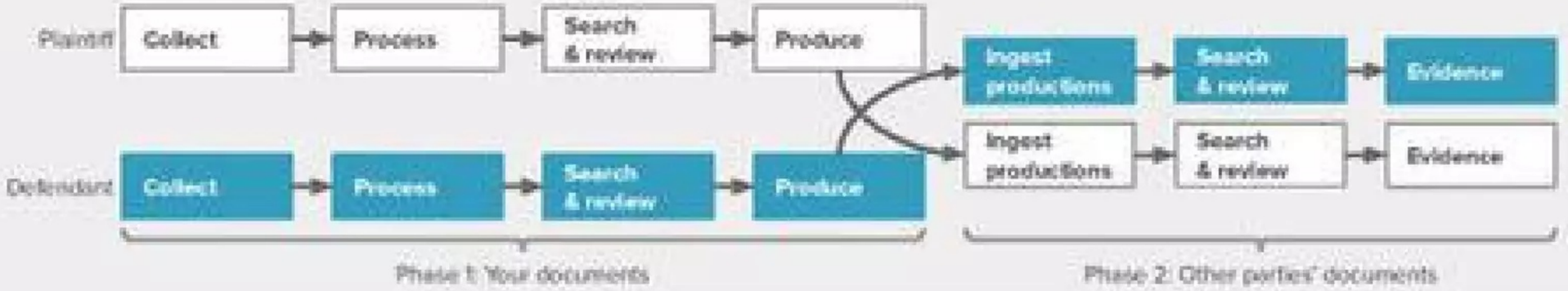


Aaron Trull
VP of Human Resources

Ediscovery: legal review of enterprise data

Collect, process, search, review, and produce enterprise documents, messages, and other data. Used in:

Litigation



Investigations



Other legal reviews

e.g., data breach, privacy, subpoenas, FOIA, GDPR DSARs

Business case for DISCO

"Fast and easy to use," i.e., high NPS end-user experience, but also . . .

1. **Save 30–50% on legal fees for doc review (which are 3–5× the cost of ediscovery)**

Major U.S. airline

Case study: Antitrust litigation over alleged capacity fixing

2. **Resolve cases months earlier by finding evidence faster, even before formal review begins**

Int'l construction company

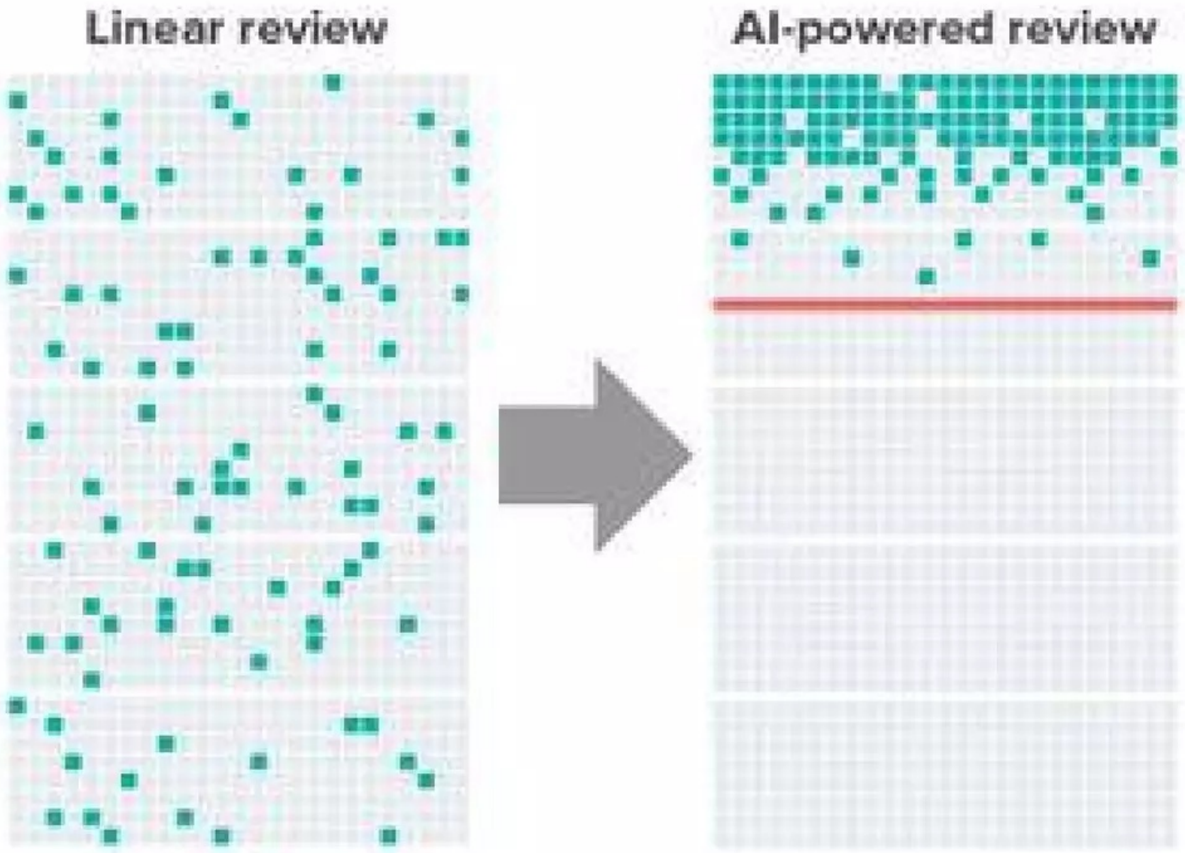
Case study: Client resolved a Chinese criminal investigation in 2 months using DISCO when competitors required 4+ months for collection and doc review

3. **Control and secure corporate data by keeping it in a single legal repository with access by permission**

Global fast food restaurant

- Replaces data going to (many different) law firms and service providers across cases
- Opportunity for reuse of data and AI models
- Enables distributed work and work from home

AI accelerates reviews



Lawyers tag documents by legal issue

Our AI models score documents (-100, 100) for each tag and learn continuously

Sorting documents by these scores pushes all good documents to the top, creating:

- Richer review: 80% of documents you look at are good, v. 10%
- Earlier stop: find all good docs after reviewing 30% of the total rather than 100%

Workflow, search, analytics, and platform performance are as important as AI — user experience drives adoption

DISCO Cross-Matter AI

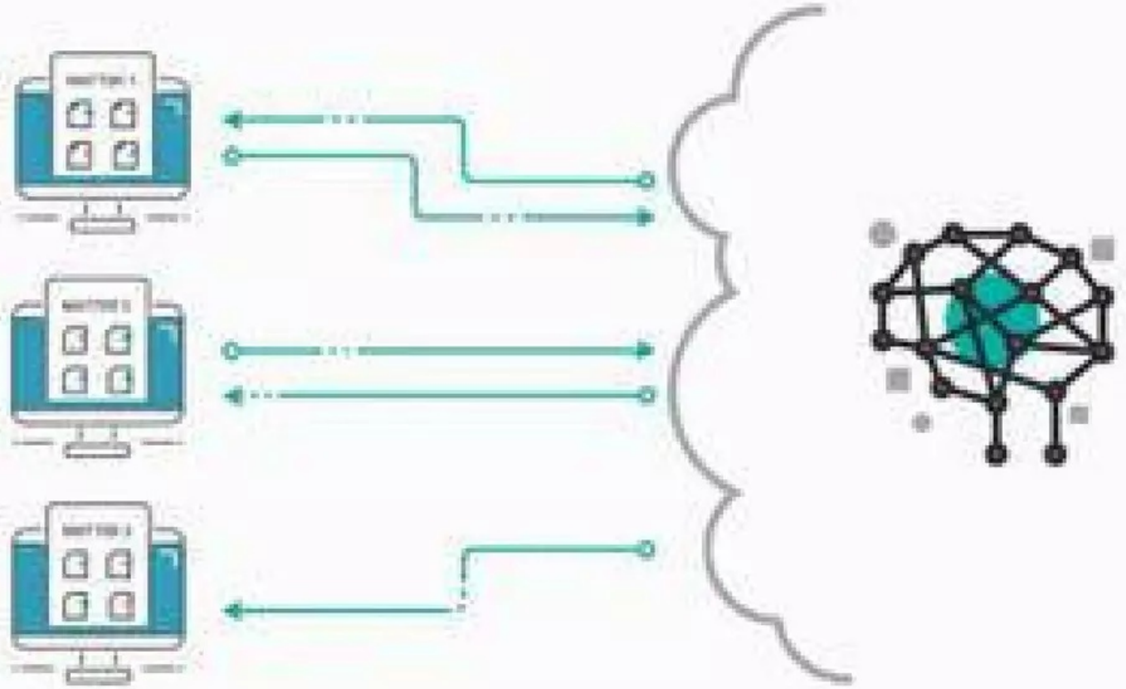
Take learnings from past matters and apply them to new matters from the start

Cross-matter AI allows customers to

- build AI models powered by all their legal data
- productize their expertise in areas of law

Enables future feature sets:

- Out-of-the-box models provided by DISCO
- Compliance program powered by AI models run against data in place
- Real-time litigation prevention by integrating AI models into email and business applications to prevent creation of problematic content



Opioids litigation



Competitor would have charged $5.7mm here ($1 per doc) and reviewed 5.7mm docs

DISCO charged $484,160 ($1 per doc) and reviewed only 159,880 docs (creating software margins)

DISCO Ediscovery used to develop culling strategies to reduce data set

DISCO Ediscovery AI and analytics used to identify review population

DISCO Managed Review used workflow and AI feature sets in DISCO Ediscovery to complete the review after reviewing only 33% of the review population (0.8% of all the documents)

Three key differentiators from > $75mm product investment

Cloud native architecture at PB+ scale

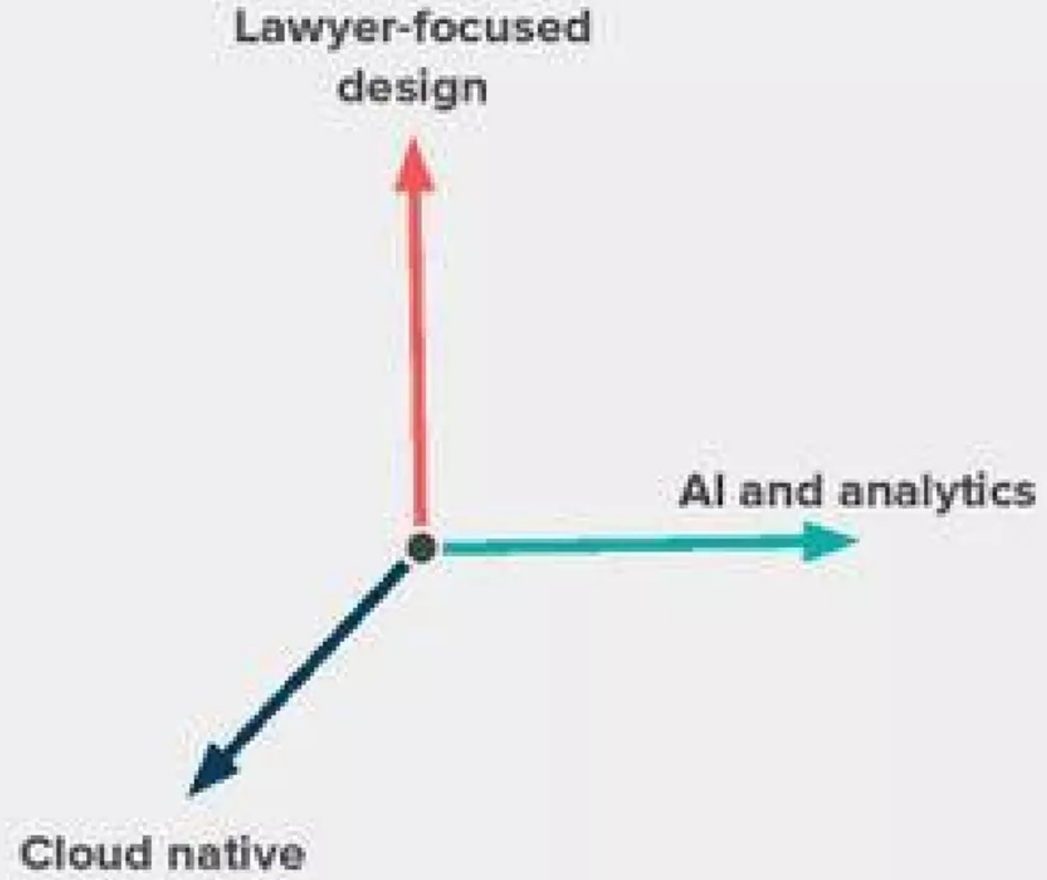
- Improved performance, economics, and pace of innovation by leveraging cloud technologies
- Competitors must rewrite software to go from on-premise to cloud and single tenant to multitenant

Lawyer-focused design and direct business model

- We build for and sell to end user legal teams
- Competitors must redesign user experience and pivot business models from channel to direct

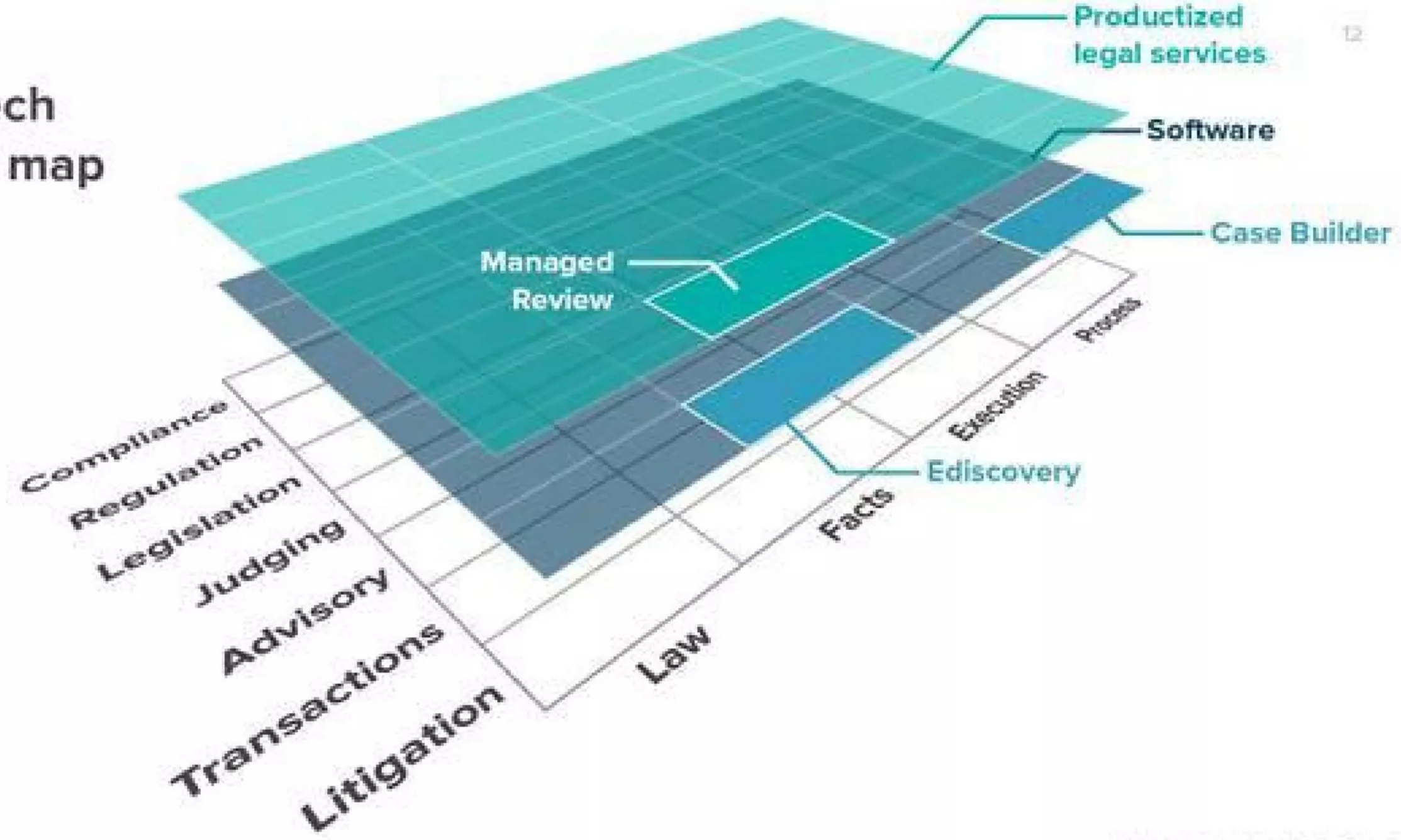
AI and analytics to automate doc review

- Lawyer users train our AI models for us → growing differentiation as data grows

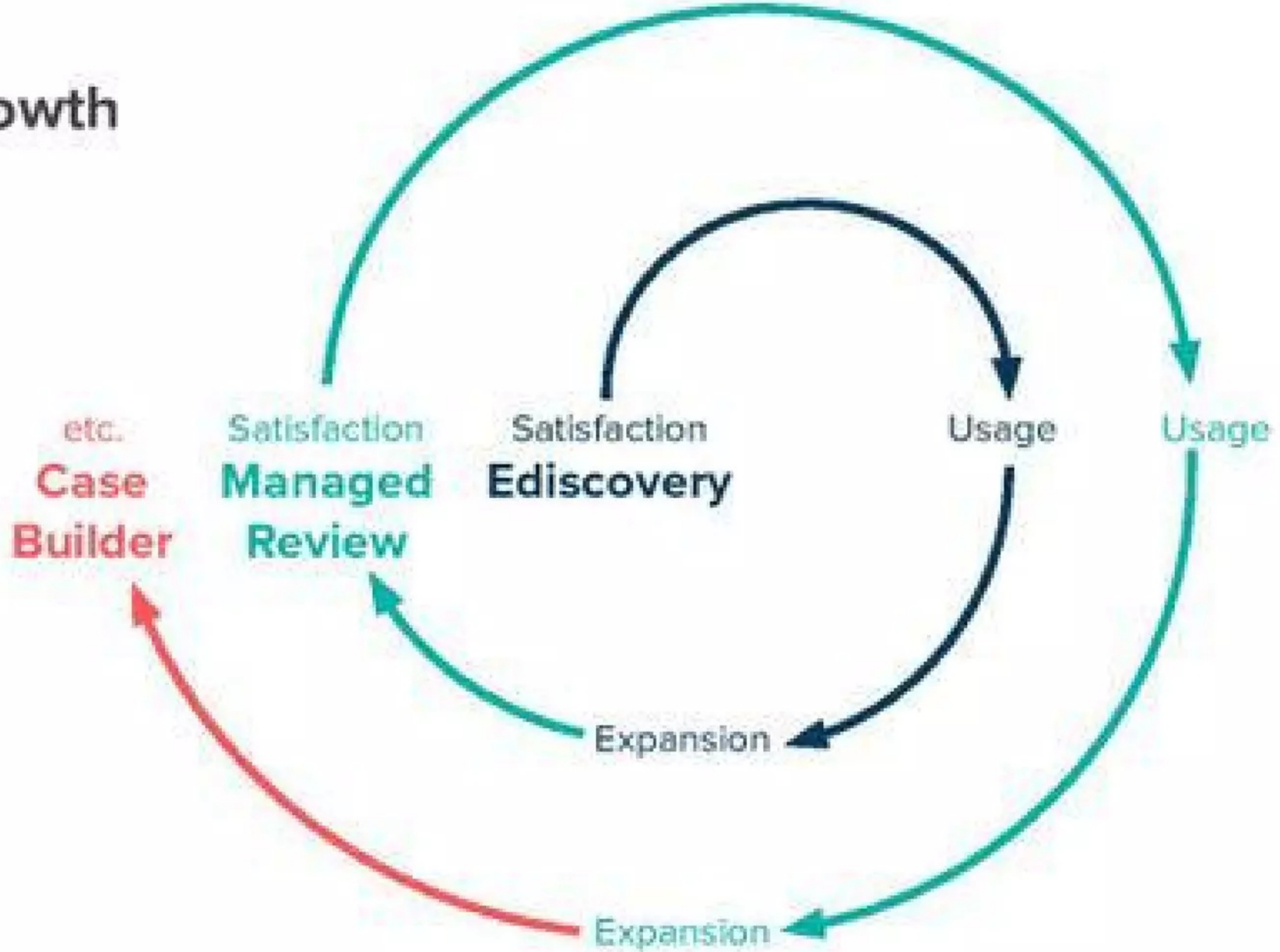


Three independent axes of differentiation →
very difficult for a competitor to catch up on all three

Legaltech market map

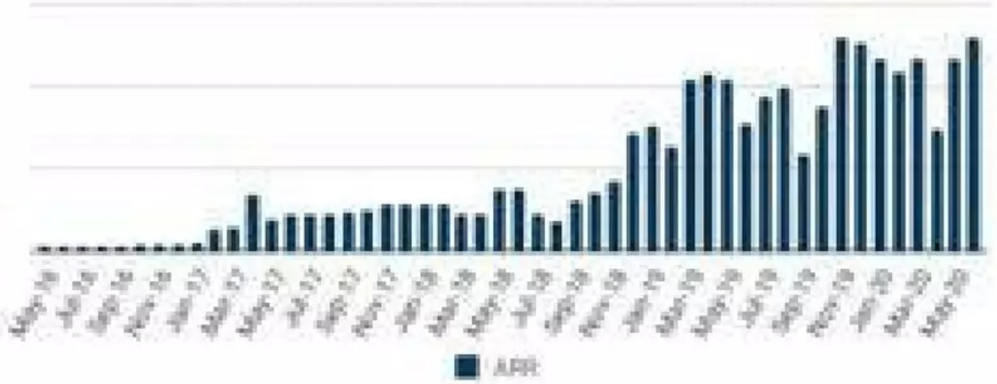


DISCO growth flywheel

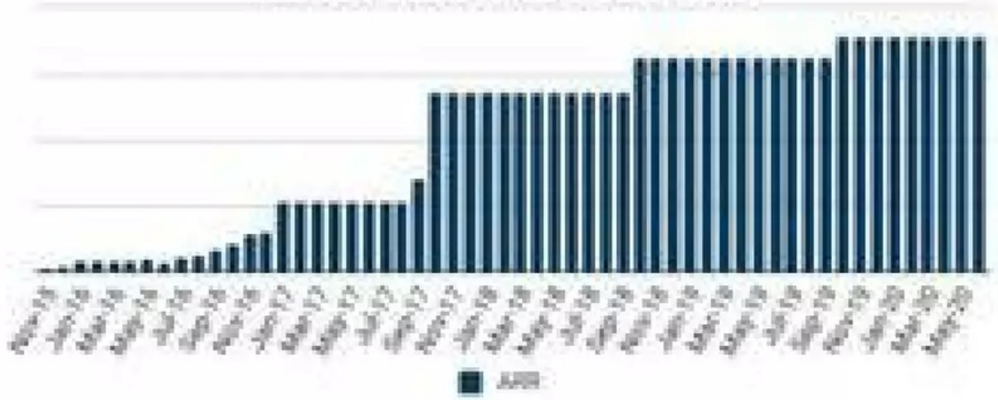


Land and expand: customer case studies

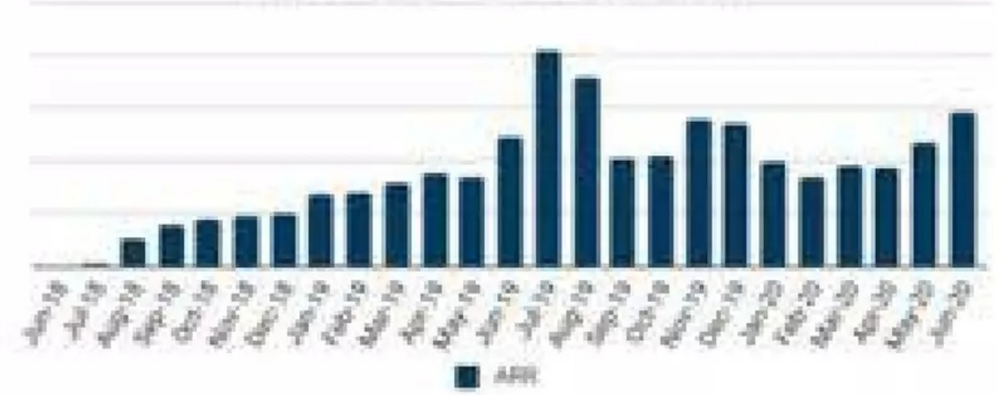
High-tech real estate company



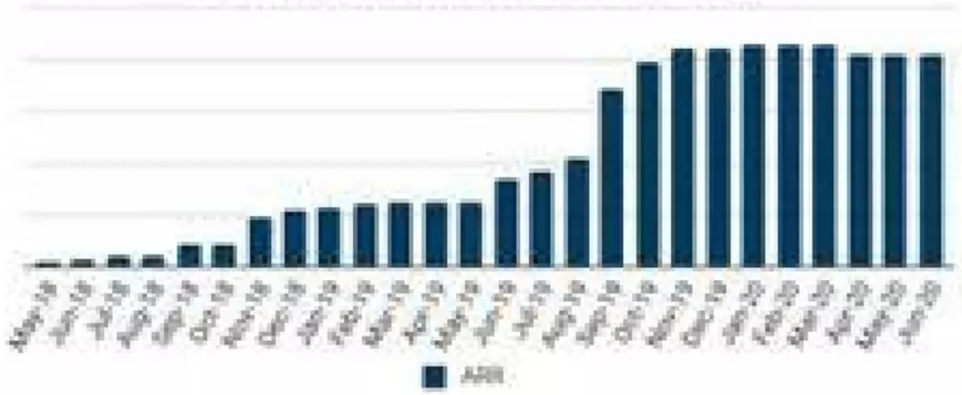
AmLaw 200 Law Firm



AmLaw 200 Law Firm

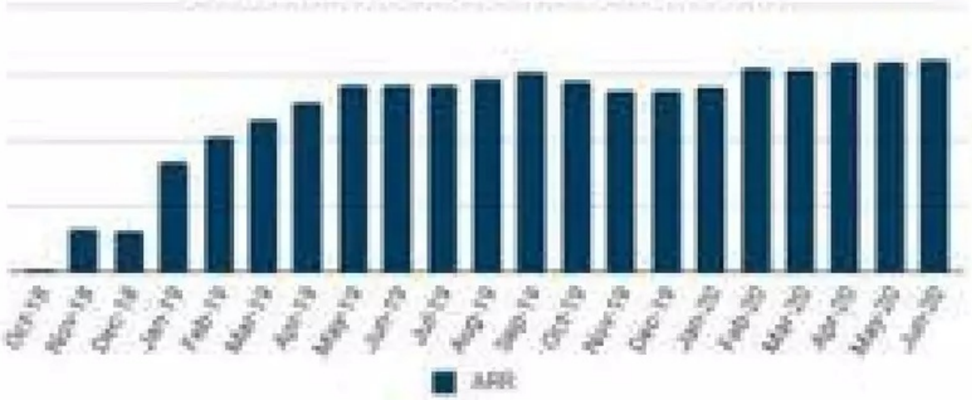


Leading pharma company

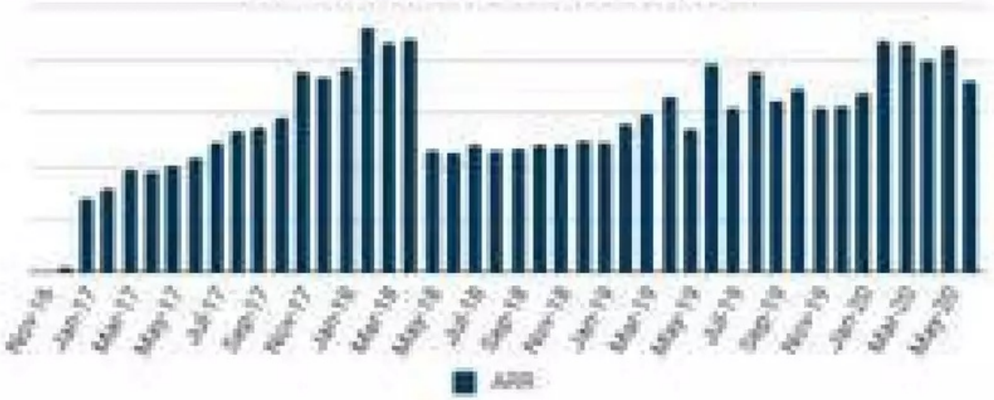


Land and expand: customer case studies (cont'd)

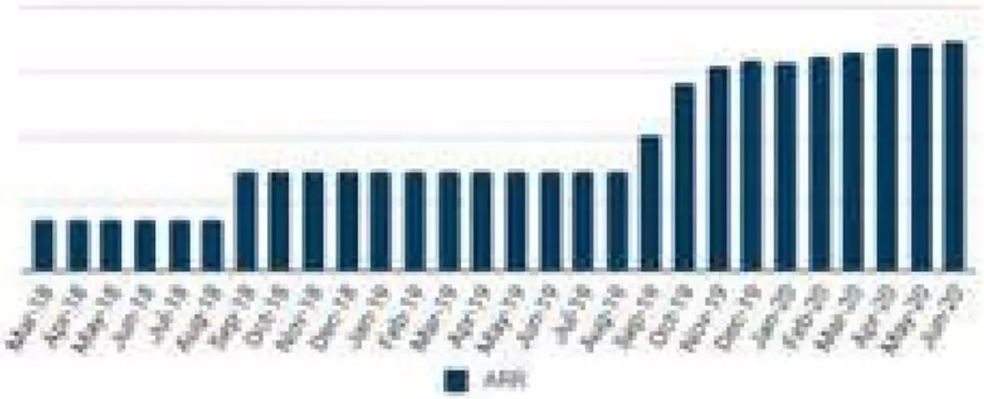
Global fast food restaurant



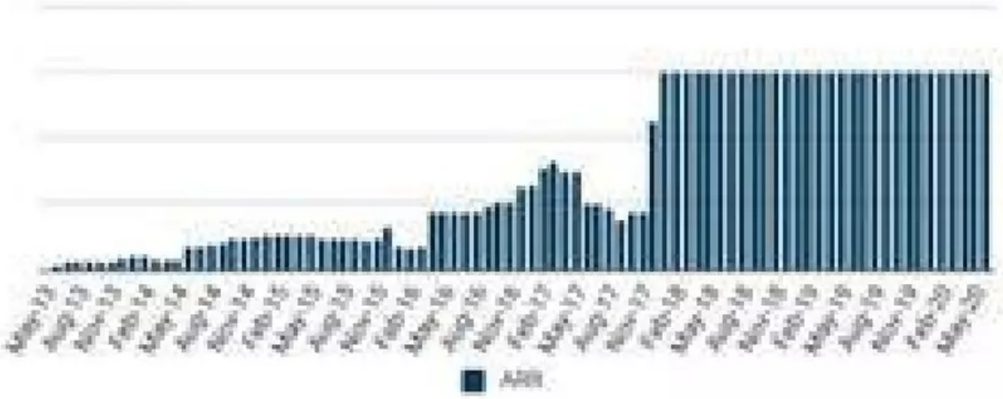
AmLaw 200 Law Firm



Leading global consultancy



Multi-state litigation boutique



Our values

Meaningful impact

All-in

Grit & grace

Innovation

Craft

DISCO cares

At DISCO, we believe to help is human. DISCO Cares aims to inspire compassion, service, and kindness in our communities through our philanthropic activities.

- Invest in STEM education for the next generation in underserved communities
- Support local families in need
- Nurture DISCOvians' passions in charitable causes



2019 impact report



2020 recognitions







Ongoing DEI commitment from E-team down

DEI Council with both COO and VP People hosts DEI Focus Groups with employees

Courageous Conversations DEI training for E-team, L-team, all managers + standing DEI topic at all quarterly offsites

DEI all-hands with personal exec stories in May 2020

Support for community organizations working on DEI issues, e.g., Code2College workshop at DISCO HQ and contribution match campaign by our CEO

L&D investment (DISCO University) + favorable demographics in entry-level hiring to address pipeline

Engagement survey questions aimed at DEI issues ("How can we raise our game around diversity and inclusion at DISCO?" "How can we create a more inclusive environment at DISCO?")



COURAGEOUS CONVERSATION

Code2College

Takeaways

Market leader in cloud ediscovery

Use cases for corporate legal departments are nondiscretionary and countercyclical: litigation, investigations, compliance, privacy, data breach, and other legal document reviews

Horizontal software for the legal function with customers across all verticals and tremendous NPS

Founders with deep domain paired with experienced executive team with leadership experience in both legal and high-growth software companies and substantial time together at DISCO

Unique business model features extreme enterprise land and expand with 7+ years of cohort revenue growth: cohorts grow 2×–3× over 2–3 years

Working go-to-market machine with strong new logo addition, high dollar and logo net retention, high sales rep productivity, and compelling LTV:CAC

Managed Review business with high growth (eight figure scale; 500% YoY), high software-level margins, and >100% dollar attach rates for buying logos has potential to contribute growth well in excess of operating plan

Category creator for legal technology and productized legal services as software transforms legal services

Thank You

www.csdisco.com